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1 Network Configurations in Microsoft Fabric

1.1 Overview

Microsoft Fabric is a unified SaaS platform for analytics and AI, bringing together Data Factory, Data Engineering, Data Science, Data Warehousing, Real-Time Intelligence and Power BI around a single data lake: **OneLake**.

Network security in Fabric is built around three fundamental pillars:

Pillar	Objective	Key Features
Inbound Protection	Control who accesses Fabric	Conditional Access, Private Links (tenant/workspace), IP Firewall
Secure Outbound Access	Connect Fabric to protected data sources	Trusted Workspace Access, Managed Private Endpoints, VNet/On-prem Gateways

Pillar	Objective	Key Features
Outbound Protection	Prevent data exfiltration	Outbound Access Policies, allowed destination rules

Combining **Inbound + Outbound Protection** provides complete **Data Exfiltration Protection (DEP)**.

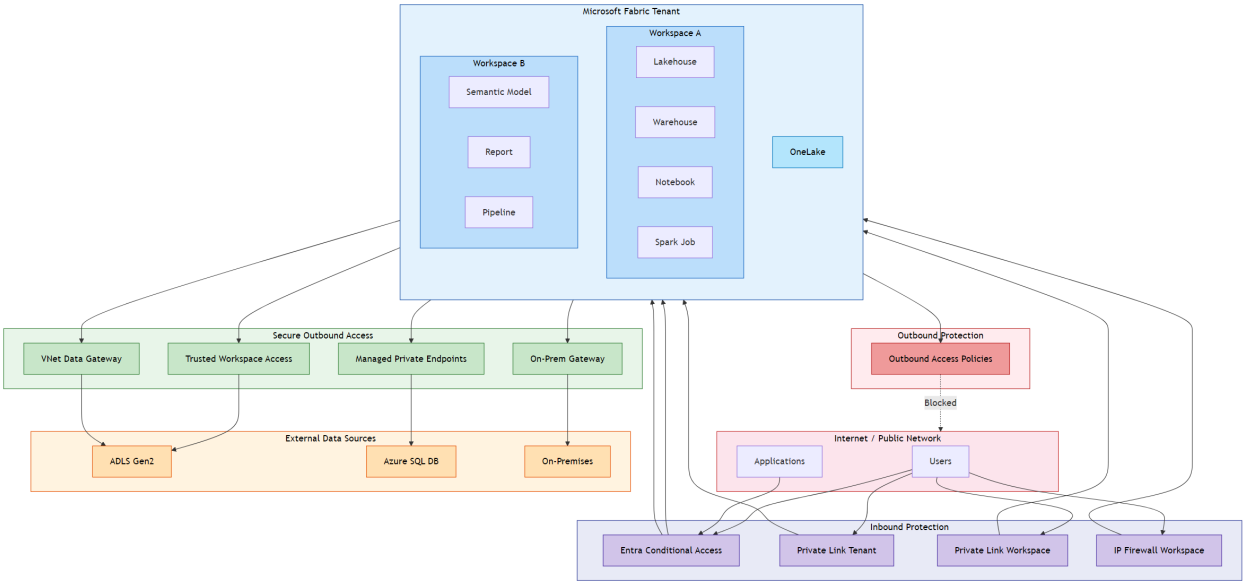

Figure 1: Diagram 1

1.2 Secure by Default

Microsoft Fabric is **secure by default** without any additional configuration:

- **Authentication**: Every interaction is authenticated via **Microsoft Entra ID**
- **Encryption in transit**: All traffic is encrypted using **TLS 1.2** minimum (TLS 1.3 negotiation when available)
- **Encryption at rest**: All data in OneLake is automatically encrypted
- **Microsoft backbone network**: Internal communications between Fabric experiences travel through the Microsoft private network, never over the public internet
- **Secure endpoints**: The Fabric backend is protected by a virtual network and is not directly accessible from the public internet

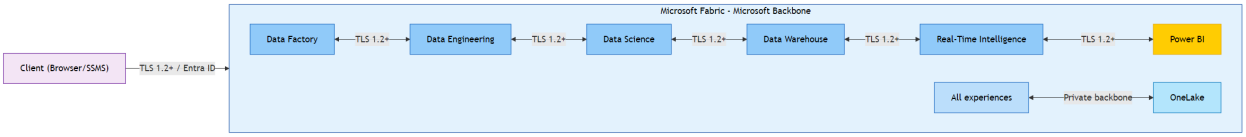

Figure 2: Diagram 2

1.3 Inbound Protection

Inbound protection controls traffic entering Fabric from the internet or corporate networks.

1.3.1 Entra Conditional Access

Microsoft Entra ID Conditional Access is the **Zero Trust** approach for securing access to Fabric. Access decisions are made at authentication time by evaluating contextual signals.

Evaluated signals:

Signal	Policy examples
Users and groups	Target specific populations
Location / IP	Allow only certain IP ranges or countries
Devices	Require compliant devices (Intune)
Applications	Apply rules per Fabric application
Sign-in risk	Block high-risk sign-ins

Possible decisions: Block, Grant, Require MFA, Require compliant device.

Prerequisites: Microsoft Entra ID P1 license (often included in Microsoft 365 E3/E5).

> **Note:** Conditional Access policies apply to Fabric and related Azure services (Power BI, Azure Data Explorer, Azure SQL Database, Azure Storage). This may be considered too broad for some scenarios.

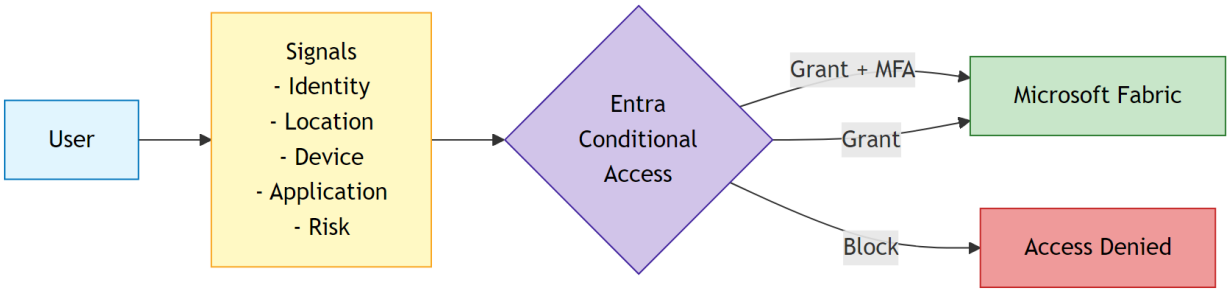

Figure 3: Diagram 3

1.3.2 Tenant-Level Private Link

Tenant-level Private Link provides **perimeter-based protection** for the entire Fabric tenant.

Concept: An Azure Private Endpoint is created in the customer's VNet, establishing a private tunnel to Fabric via the Microsoft backbone. Fabric becomes inaccessible from the public internet.

Two key settings:

Setting	Effect
Azure Private Links (enabled)	Traffic from the VNet to supported endpoints goes through the Private Link
Block Public Internet Access (enabled)	Fabric is no longer accessible from the public internet; only Private Link is allowed

Configuration scenarios:

Private Link	Block Public Access	Behavior
Yes	Yes	Access only via Private Endpoint. Unsupported endpoints blocked.
Yes	No	VNet traffic via Private Link. Public internet traffic allowed.
No	-	Standard access via public internet.

Considerations:

- **All users** must connect through the private network (VPN, ExpressRoute)
- **Bandwidth** impact: static resources (CSS, images) also transit through the Private Endpoint
- Some features have **limitations** (Publish to Web disabled, Copilot not supported, Power BI PDF/PowerPoint export disabled)
- **Spark Starter Pools** are disabled (replaced by custom pools in the managed VNet)

1.3.3 Workspace-Level Private Link

Workspace-level Private Link offers **granular** control: specific workspaces are protected by Private Link while others remain publicly accessible.

Key characteristics:

- **1:1** relationship between a workspace and its Private Link Service
- A Private Link Service can have **multiple Private Endpoints** (from different VNets)
- A VNet can connect to **multiple workspaces** via separate Private Endpoints
- Public access can be restricted **independently** per workspace
- Public workspaces can be secured with Entra Conditional Access or IP Filtering

Supported items (GA since September 2025): Lakehouse, Shortcut, Notebook, ML Experiment/Model, Pipeline, Warehouse, Dataflows, Eventstream, Mirrored DB. Access to workspace-level Private Link workspaces is available via both the Fabric portal and API.

> **Limitation — Unsupported item types:** Power BI reports/dashboards, Fabric databases, Data Activator, deployment pipelines, and default semantic models are **not yet covered** by workspace-level Private Link. These items remain accessible via public

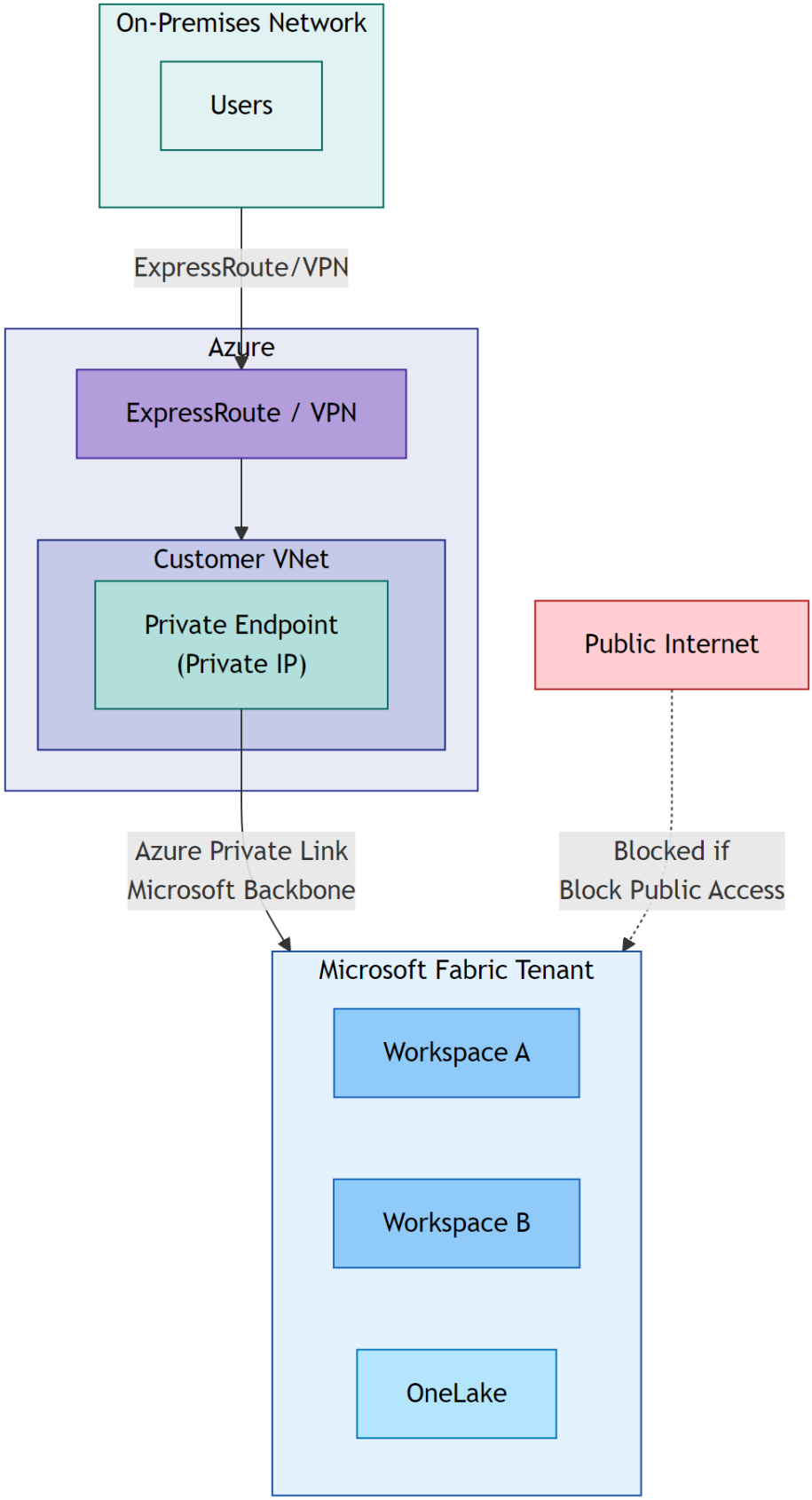

Figure 4: Diagram 4.

endpoints unless the entire tenant is secured with tenant-level Private Link or Microsoft Entra Conditional Access is used. Support for these item types is on the roadmap.

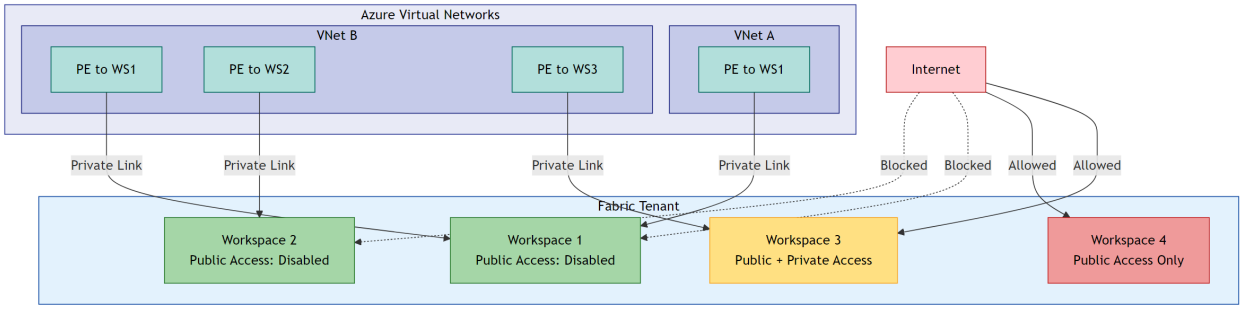

Figure 5: Diagram 5

Key difference from Tenant-Level Private Link: Workspace-level Private Link allows you to protect only sensitive workspaces without impacting the entire tenant. This is the recommended approach for organizations that cannot force all users onto a private network.

1.3.4 Workspace IP Firewall

The workspace IP firewall is the simplest solution to restrict access to a workspace from specific public IP ranges.

Concept: Only explicitly allowed IP addresses or IP ranges can access the workspace. No Azure network infrastructure is required.

Supported items (GA since Q1 2026): Lakehouse, Shortcut, Notebook, ML Experiment/Model, Pipeline, Warehouse, Dataflows, Eventstream, Mirrored DB. Both API and UI configuration are supported.

Limitation — Unsupported item types: Power BI reports/dashboards, Fabric databases, Data Activator, deployment pipelines, and default semantic models are **not covered** by workspace IP Firewall rules. Traffic to these items bypasses the IP firewall and remains accessible from any network unless the entire tenant is locked down with tenant-level Private Link or Microsoft Entra Conditional Access. Support for these items is on the roadmap.

1.3.5 Inbound Options Comparison

Criteria	Conditional Access	Private Link Tenant	Private Link Workspace	IP Firewall
Granularity	Tenant (per policy)	Tenant	Workspace	Workspace
Azure infrastructure required	No	VNet + PE	VNet + PE per WS	No
Complexity	Low	High	Medium	Low

Criteria	Conditional Access	Private Link Tenant	Private Link Workspace	IP Firewall
Approach	Zero Trust (identity)	Perimeter (network)	Perimeter (network)	IP-based
User impact	Transparent (MFA)	VPN/ER mandatory	VPN/ER for protected WS	None if IP allowed
Additional cost	Entra ID P1	VNet + PE + ER/VPN	VNet + PE	None
Status	GA	GA	GA	GA

1.4 Secure Outbound Access

Secure outbound access allows Fabric to connect to data sources protected by firewalls or private networks.

1.4.1 Trusted Workspace Access

Trusted Workspace Access allows specific Fabric workspaces to securely access **firewall-enabled ADLS Gen2 accounts**.

Concept: The Fabric workspace has a **workspace identity** (managed identity). **Resource Instance Rules** are configured on the storage account to authorize only specified workspaces.

Prerequisites: - Workspace associated with a **Fabric F SKU** capacity (not supported on Trial) - **Workspace Identity** created and configured as Contributor - Authentication principal with Azure RBAC role on the storage account (Storage Blob Data Contributor/Owner/Reader) - Resource Instance Rule configured via **ARM Template** or **PowerShell**

Supported scenarios:

Method	Description
OneLake Shortcut	ADLS Gen2 shortcut in a Lakehouse
Pipeline	Data copy from firewall-enabled ADLS Gen2
T-SQL COPY INTO	Ingestion into a Warehouse
Semantic Model (import)	Model connected to ADLS Gen2
AzCopy	High-performance load to OneLake

1.4.2 Managed Private Endpoints

Managed Private Endpoints enable secure, private connections to Azure data sources from Fabric workloads without exposing them to the public network.

Concept: Microsoft Fabric creates and manages Private Endpoints in a **managed VNet** dedicated to the workspace. Workspace admins specify the resource ID of the source, the target sub-resource, and a justification.

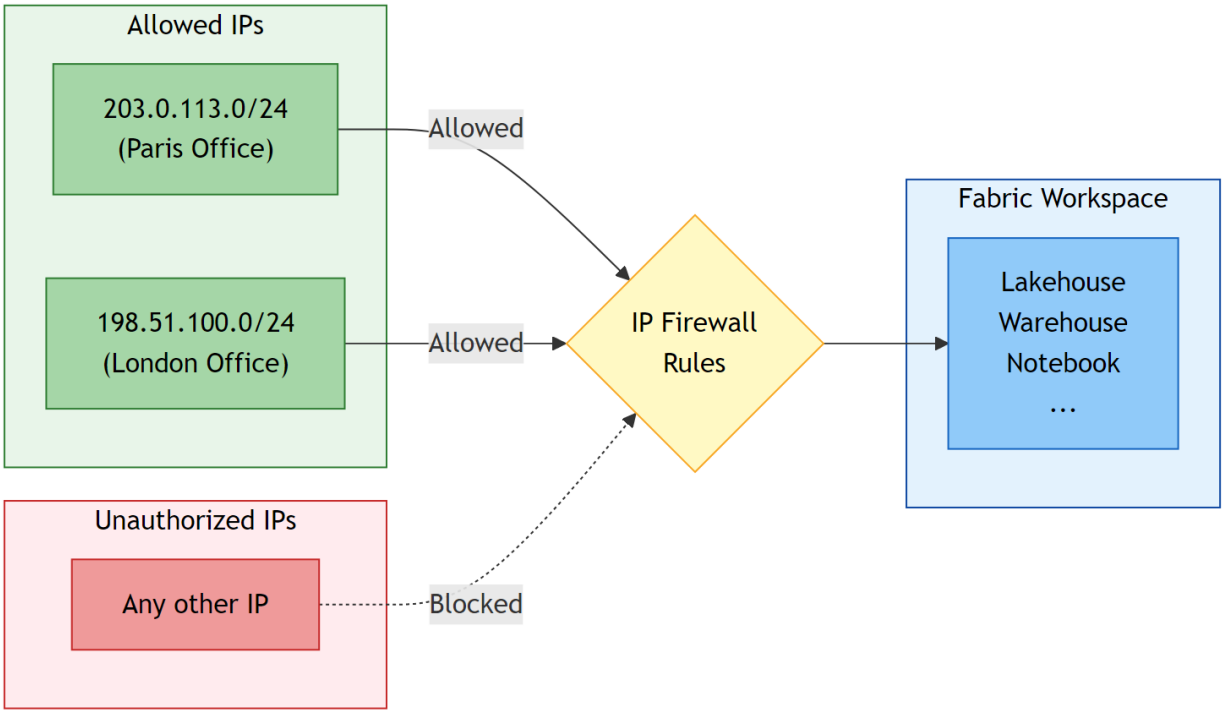

Figure 6: Diagram 6

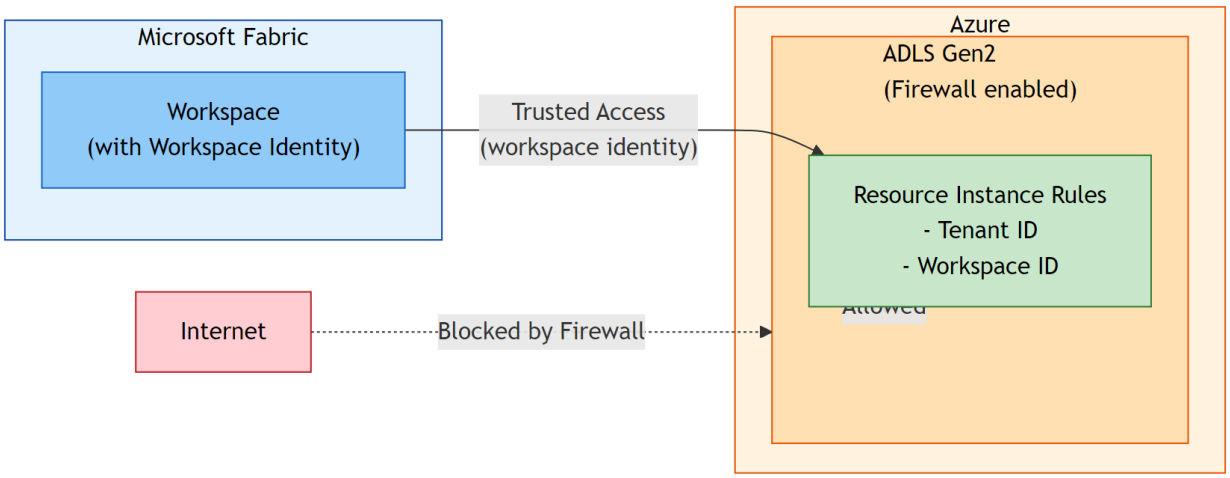

Figure 7: Diagram 7

Supported sources: Azure Storage, Azure SQL Database, Azure Cosmos DB, Azure Key Vault, and many more.

Supported items: - Data Engineering (Spark/Python Notebooks, Lakehouses, Spark Job Definitions) - Eventstream

Prerequisites: - Supported on Fabric Trial and all F SKU capacities - Data Engineering workload must be available in both the tenant region AND the capacity region

Limitations: - OneLake shortcuts do not yet support ADLS Gen2 / Blob Storage connections via MPE - Cross-region workspace migration not supported - FQDN-based creation (Private Link Service) only via REST API

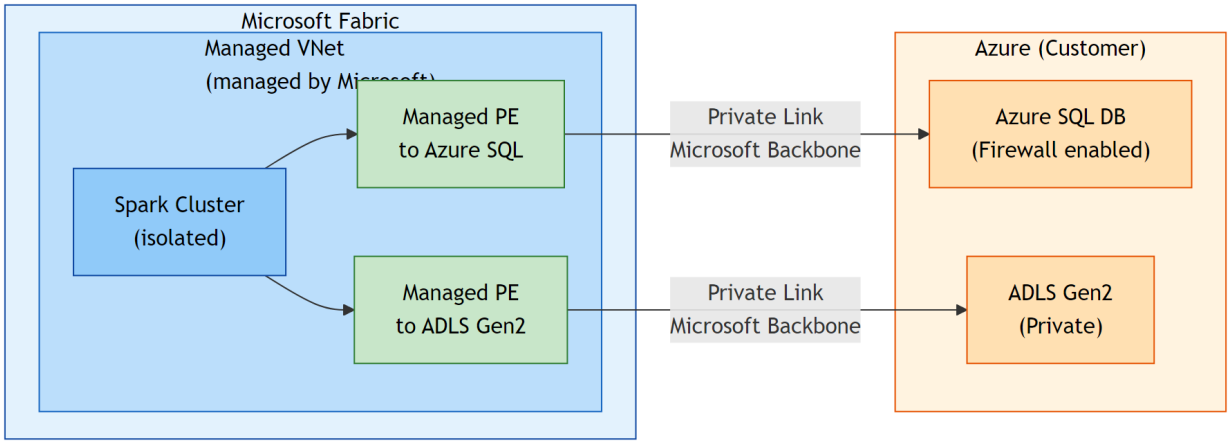

Figure 8: Diagram 8

1.4.3 Managed Virtual Networks

Managed VNets are virtual networks created and managed by Fabric for each workspace. They provide network isolation for Spark workloads.

Automatically provisioned when: 1. **Managed Private Endpoints** are added to the workspace 2. The **Private Link** setting is enabled and a Spark job is executed

Characteristics: - Complete Spark cluster isolation (dedicated network) - No need to size subnets (managed by Fabric) - **Starter Pools** are disabled (on-demand Custom Pools, 3-5 min startup) - Not supported in Switzerland West and West Central US regions

1.4.4 Data Gateways

1.4.4.1 On-Premises Data Gateway A gateway installed on a server within the corporate network, acting as a bridge between on-premises data sources and Fabric.

Characteristic	Detail
Installation	Windows server in the internal network
Protocol	Secure outbound channel (no inbound port opening)
Sources	Any source accessible from the gateway server

Characteristic	Detail
Management	Manual (updates, high availability)

1.4.4.2 VNet Data Gateway A managed gateway deployed into a customer's Azure VNet, enabling connections to Azure services within the VNet without an on-premises gateway.

Characteristic	Detail
Deployment	Injection into an existing Azure VNet
Management	Managed by Microsoft
Sources	Azure services in the VNet or peered VNets
Workloads	Dataflows Gen2, Semantic Models
Enterprise proxy & cert auth	GA (2026) — supports enterprise proxy servers and certificate-based authentication for corporate network compliance

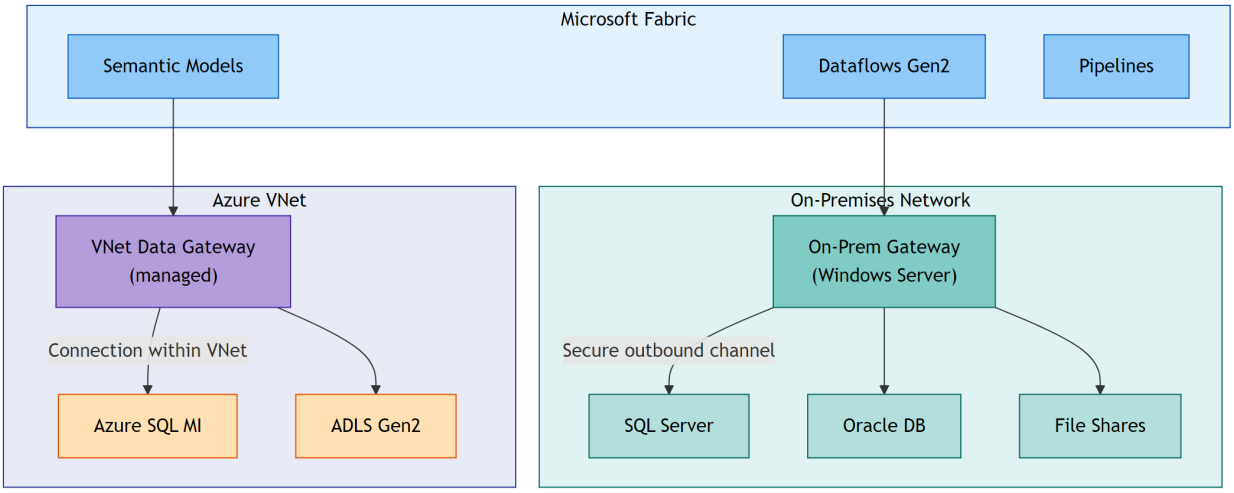

Figure 9: Diagram 9

1.4.5 Eventstream Private Network Support

Preview — Q1 2026

Fabric Eventstreams can now ingest data from private networks via a **managed VNet** and a **streaming data gateway**, enabling secure real-time data ingestion without exposing source endpoints to the public internet. This allows organizations to stream events from Azure Event Hubs, IoT Hub, or

custom sources within a VNet directly into Fabric, with traffic routed entirely through the Microsoft backbone.

Key points: - Eventstreams leverage the workspace's managed VNet for network isolation - A streaming data gateway bridges the private network to the Eventstream ingestion endpoint - Supports managed private endpoints for source connectivity - Custom Endpoint as source/destination and Eventhouse direct ingestion remain unsupported

1.4.6 Service Tags

Azure Service Tags are automatically managed groups of IP addresses, usable in NSGs, Azure Firewall and user-defined routes.

Tag	Service	Direction	Regional
`Power BI`	Power BI and Microsoft Fabric	Inbound/Outbound	Yes
`DataFactory`	Azure Data Factory	Inbound/Outbound	Yes
`DataFactoryManagement`	On-premises pipeline	Outbound	No
`EventHub`	Azure Event Hubs	Outbound	Yes
`KustoAnalytics`	Real-Time Analytics	Inbound/Outbound	No
`SQL`	Warehouse	Outbound	Yes
`PowerQueryOnline`	Power Query Online	Inbound/Outbound	No

> **Tip:** When using regional tags, add the tag for the tenant's home region **and** the capacity region (if different), as well as the corresponding paired regions.

1.4.7 Secure Outbound Connectors Matrix

Connection Method	Supported Sources	Fabric Workloads
Trusted Workspace Access	ADLS Gen2 (firewall)	Shortcuts, Pipelines, COPY INTO, Semantic Models
Managed Private Endpoints	Azure SQL, ADLS Gen2, Cosmos DB, Key Vault…	Spark Notebooks, Lakehouses, Spark Jobs, Eventstream
VNet Data Gateway	Azure services in a VNet	Dataflows Gen2, Semantic Models
On-Premises Gateway	SQL Server, Oracle, files, SAP…	Dataflows Gen2, Semantic Models, Pipelines
Service Tags	Azure SQL VM, SQL MI, REST APIs	Pipelines, network integration

1.5 Outbound Protection

1.5.1 Outbound Access Policies

Outbound Access Policies allow you to **restrict outbound connections** from a Fabric workspace to unauthorized destinations.

Objective: Prevent malicious users from exfiltrating data to unapproved destinations.

Characteristics: - **Workspace-level** control - Destinations are allow-listed via **Managed Private Endpoints** or **Data Connections** - Any connection to a destination not explicitly allowed is **blocked**

Status (as of April 2026):

Item Type	Status
Lakehouse, Spark Notebooks, Spark Jobs	**GA** (since Sept 2025)
Dataflows, Pipelines, Copy Jobs, Warehouse, Mirrored DBs	**GA** (since Nov 2025)
Power BI, Databases	Planned (roadmap)

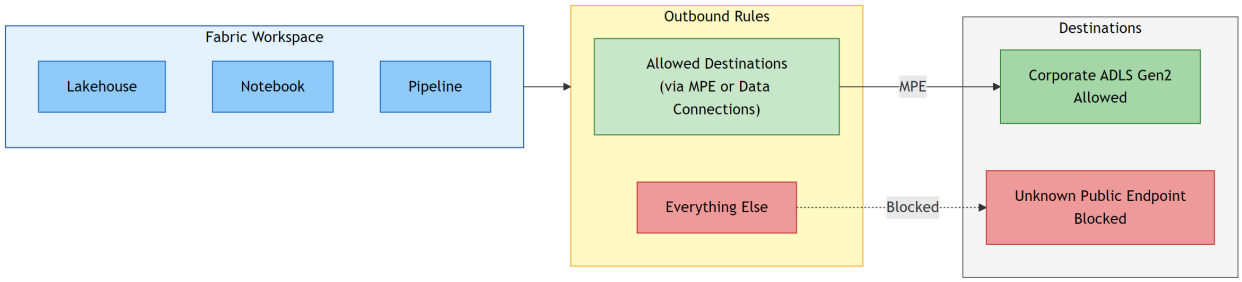

Figure 10: Diagram 10

1.5.2 Data Exfiltration Protection (DEP)

Complete **DEP** is achieved by combining inbound AND outbound protection:

Component	Role
Inbound (Private Link / IP Firewall / Conditional Access)	Controls **who** can access data and **from where**
Outbound (Outbound Access Policies)	Prevents authorized users from **exfiltrating** data to unapproved destinations

1.6 Data Security

1.6.1 Encryption

Type	Mechanism	Detail
In transit	TLS 1.2 / 1.3	All client-to-Fabric and inter-experience traffic
At rest	Microsoft-managed keys (default)	Automatic encryption of all data in OneLake

Type	Mechanism	Detail
At rest (advanced)	Customer Managed Keys (CMK)	Second layer of encryption with customer-managed Azure Key Vault keys
Power BI	BYOK	Bring Your Own Key for Power BI datasets

1.6.2 Customer Managed Keys (CMK)

CMK allows organizations to add an **additional encryption layer** with keys they manage themselves in Azure Key Vault.

Status (as of April 2026):

Item Type	Status
Lakehouse, Spark Job, Environment, Pipeline, Dataflow, API for GraphQL, ML Model/Experiment	**GA** (since Oct 2025)
Data Warehouse	**GA** (since Oct 2025)
Databases, Mirrored Experiences, Power BI	Planned (roadmap)

1.7 Data Residency and Multi-Geo

Microsoft Fabric supports **multi-geo** deployment with capacities spread across **54 data centers** worldwide.

Characteristics: - Workspaces in different regions are still part of the same OneLake data lake - The query execution layer, caches, and data remain in the Azure geography where they were created - Some metadata and processing is stored at rest in the tenant's home geography - **Data Residency compliant** by default

1.8 Compliance and Certifications

Microsoft Fabric supports a wide range of compliance standards:

Certification	Date
ISO 27001, 27701, 27017, 27018	December 2023
HIPAA	January 2024
Australian IRAP	February 2024
SOC 1 & 2 Type 2, SOX, CSA STAR	May 2024
HITRUST	September 2024
FedRAMP (Azure Commercial)	November 2024
PCI DSS	January 2025
K-ISMS	May 2025
GDPR, EUDB	Supported

Fabric is a core **Microsoft Online Service**.

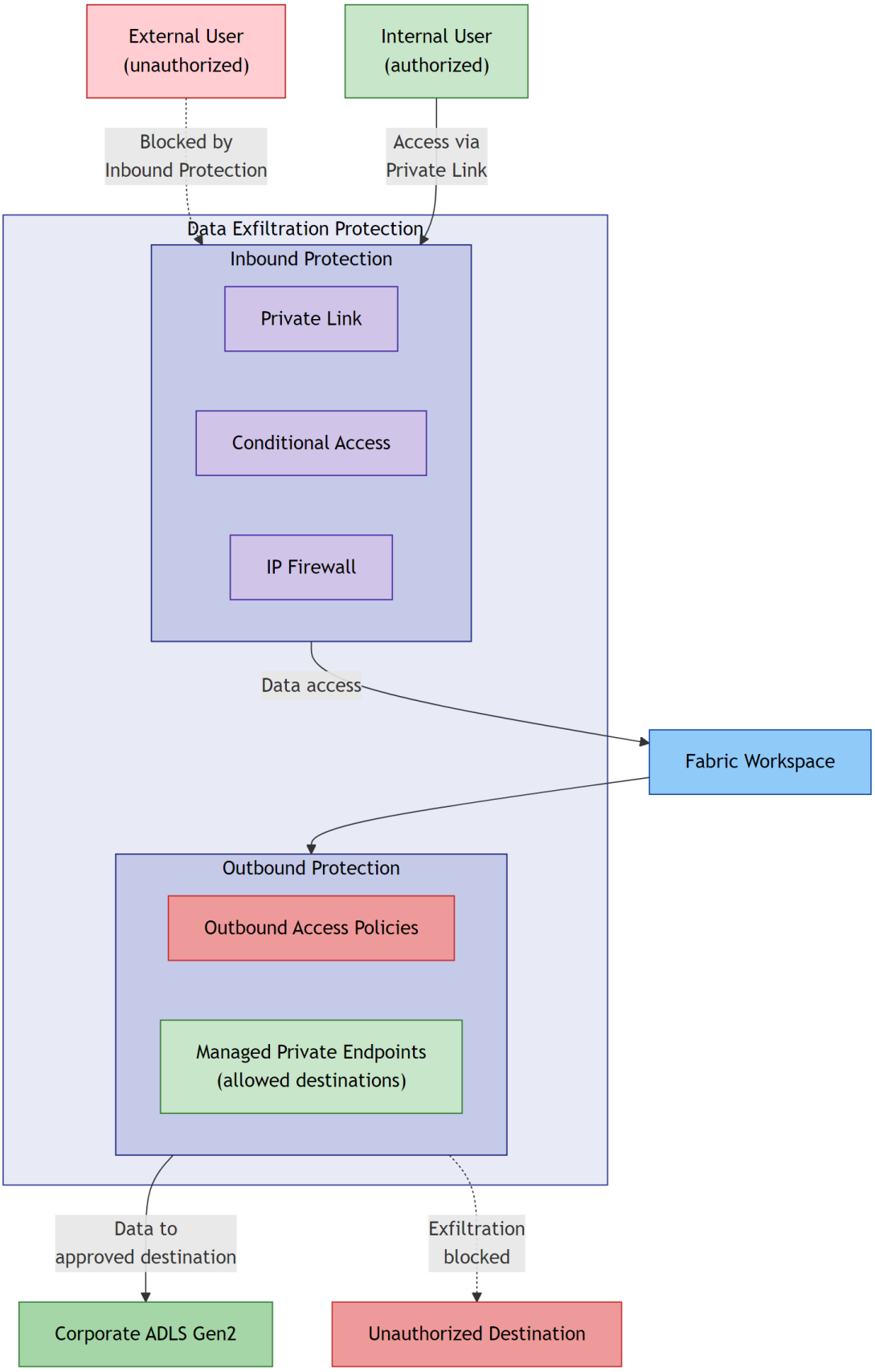

Figure 11: Diagram 11

1.9 Decision Guide

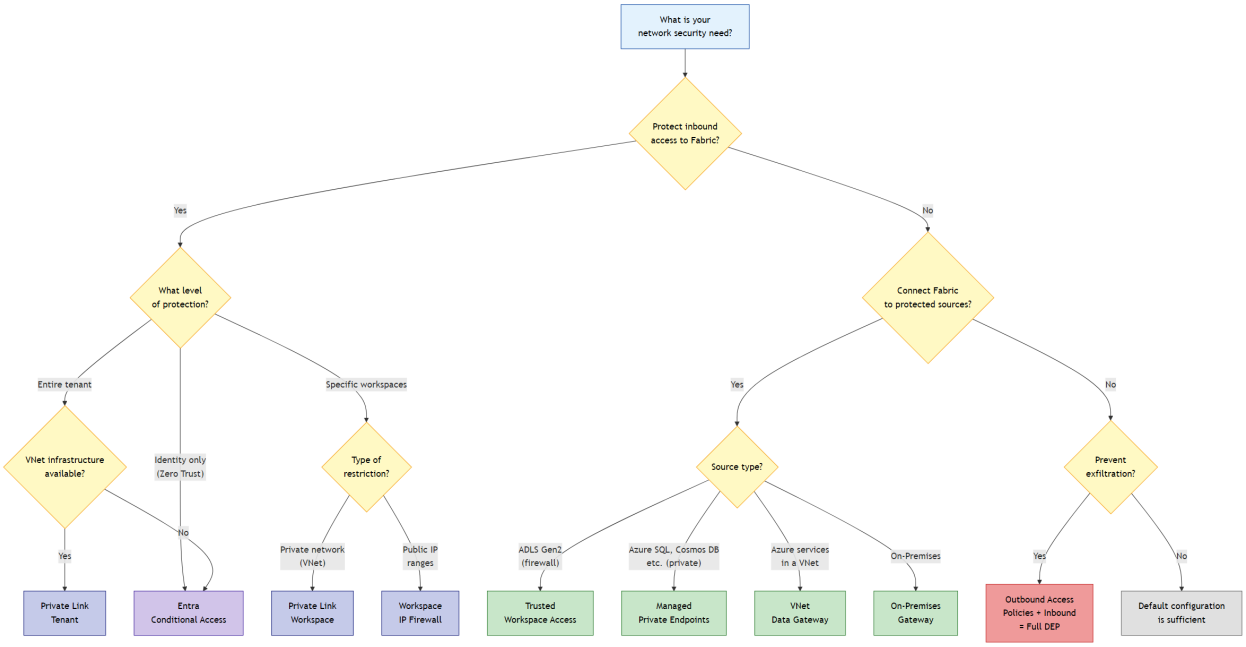

Figure 12: Diagram 12

1.10 Feature Summary and Status

Updated as of April 2026

Feature	Level	Direction	Status	Primary Use Case
Entra Conditional Access	Tenant	Inbound	**GA**	Zero Trust, MFA, IP filtering
Private Link Tenant	Tenant	Inbound	**GA**	Full tenant network isolation
Private Link Workspace	Workspace	Inbound	**GA**	Granular per-workspace network isolation
Workspace IP Firewall	Workspace	Inbound	**GA**	IP-based restriction without VNet infrastructure
Trusted Workspace Access	Workspace	Outbound	**GA**	Firewall-enabled ADLS Gen2 access
Managed Private Endpoints	Workspace	Outbound	**GA**	Private connection to Azure sources
Managed VNets	Workspace	Outbound	**GA**	Spark isolation + MPE support

Feature	Level	Direction	Status	Primary Use Case
VNet Data Gateway	Org	Outbound	**GA**	Managed connection to Azure services in VNet; enterprise proxy & cert auth support
On-Premises Gateway	Org	Outbound	**GA**	Connection to on-premises sources
Service Tags	NSG/Firewall	Both	**GA**	Azure network rules
Outbound Access Policies	Workspace	Outbound	**GA**	Data exfiltration prevention
Customer Managed Keys	Workspace	Data	**GA**	Dual-layer encryption
Eventstream Private Network	Workspace	Outbound	**Preview**	Secure real-time ingestion from private networks
Power BI Network Isolation	Workspace	Inbound	**Planned**	WS-level Private Link and IP Firewall for Power BI items
Fabric Databases Network Isolation	Workspace	Inbound	**Planned**	WS-level Private Link and IP Firewall for Fabric databases

1.11 References

- Security overview - Microsoft Fabric
- Private Links overview
- Workspace-level Private Links
- Managed VNets overview
- Managed Private Endpoints
- Trusted Workspace Access
- Protect Inbound Traffic
- Conditional Access in Fabric
- Service Tags
- Fabric Security Whitepaper
- *End-to-end network security in Microsoft Fabric* – Arthi Ramasubramanian Iyer & Rick Xu, FabCon 2025